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94 | WHAT COULD POSSIBLY unite a hassled young woman dealing with her hypochondriac father's gastric woes, a flight attendant fending off terrorists mid-air, and a dysfunctional family gathering for the patriarch's birthday? Only the fact that they were hit Bollywood films made on a budget of around ₹30 crore.

Think *Piku*, *Neerja* and *Kapoor & Sons*—a category of films that made bona fide stars out of the likes of Ayushmann Khurrana, Rajkumar Rao and Taapsee Pannu, and became calling cards for filmmakers such as Shoojit Sircar, Gauri Shinde and Shakun Batra. But today, the small- and medium-budget Hindi film segment is in a crisis.

"Now, a producer cannot green-light medium-budget films that used to do ₹70-80 crore business at the theatres. They are not getting made," says Shibasish Sarkar, Chairman and CEO of International Media Acquisition Corp. (IMAC), an acquisition company focussed on the media & entertainment industry. The former Reliance Entertainment CEO says that top Bollywood producers are

not putting money into them, because the audience is not coming to watch them at the theatres. And OTT platforms—that emerged as a messiah for these movies during the pandemic by becoming their primary source of revenue and audience—are not buying them anymore without a theatrical release first. "It is a crisis now [for small films]. Given their reception [at the theatres], especially when OTTs are not willing to take them, it's going to be harder. For some time, at least, you'll see a regression," says the head of a film production company requesting anonymity.

At a time when a string of Hindi films, big and small, have been tanking at the box office, this category of films has suffered badly. Used to making ₹60-70 crore at the box-office earlier, their collections have halved now, barring a few like *The Kashmir Files*. "It is harder to bet on a smaller film than a bigger film because the latter has more avenues to pre-sell satellite and digital rights before a theatrical release," says Pankaj Jaisingh, CEO (Distribution Business) of UFO Moviez. Agrees Ashish Kanakia, CEO of MovieMax Cinemas. "The mid-budget producers will have to rethink their entire game. They cannot expect ₹70-80 crore revenue at the theatres [now]," he says.

SMALLER THOUGH IN budget, small- and mid-budget films account for a large majority of the 1,000-odd movies released in India in a year, across languages. Only about a dozen are the big spectacle movies such as *RRR*, the *KGF* films or *Brahmāstra Part One: Shiva*. "The entire reliance is on the big-budget Hindi films to draw the audience. That's a problem. The core problem is content and content consistency," says Karan Taurani,

Senior VP and Research Analyst at Elara Capital. More than nine months after reopening fully, theatres and multiplex chains say they have seen 70-80 per cent recovery in footfalls compared to pre-Covid-19 levels. "We are back to 85-90 per cent [occupancy] of 2019 levels. October and November have been very good for us," says Alok Tandon, CEO of INOX Leisure. A closer look at the footfall numbers of listed chains PVR and INOX shows a spike in Q1FY23 when films such as *RRR* and *KGF: Chapter 2* came out, but Q2FY23 was again a dampener when no big films were released. IMAC's Sarkar sees this as a reflection of the audience being choosy about which films to watch at home and which ones at the theatres. Hollywood began facing this problem five-six years ago; India is just catching up, and Covid-19 has just hastened the process, he adds. "Goodbye got so much acknowledgement when it came on OTT but people didn't turn up at the theatres."

If OTTs are largely an urban phenomenon in India, can they really dent the prospects of a theatrical release? The executive who requested anonymity, says the small-budget films traditionally didn't make it to the theatres in smaller cities and towns anyway. "Generally, the bigger the star, bigger the budget, and a higher likelihood of the star having a value that would take the film into deeper pockets." Besides, Taurani points out, OTTs are really getting out there in terms of penetration. "India has 150 million households with TVs, which is around 600 million viewers. OTT or video content has more than 400 million viewers." But Devang Sampat, CEO of Mexican multiplex chain Cinopolis's Indian arm, sees OTTs not as competition but as an ally. "People don't come for a star's movie anymore. *Kantara* was not driven by